

MSFT: bull vs bear

Equity research from SEC filings. Every number below was verified against the company's filed XBRL data before it was accepted.

Model	gemini-2.5-flash
Retrieval chunker	fixed
Fiscal years	FY2026 vs FY2025
Run date	2026-09-23
Conversation id	f80812106c5049d2
Runtime	74.917s
Tokens (in / out)	59,503 / 14,339
Bull claims	6 kept, 0 removed
Bear claims	6 kept, 0 removed

Bull case

1. Microsoft's revenue grew to \$331,839 million in fiscal 2026 from \$281,724 million in fiscal 2025, a 17.79% year-over-year increase, while net income increased to \$133,749 million from \$101,832 million. [F1] [F2] [C1] [F3] [F4]
2. The company improved its profitability in fiscal 2026, with the operating income margin increasing by +1.16 percentage points to 46.78% and the net income margin increasing by +4.16 percentage points to 40.31%. [C17] [C4] [C18] [C6]
3. The Intelligent Cloud segment's revenue increased by \$31.5 billion or 30% in fiscal 2026, driven by Azure and other cloud services, and the Productivity and Business Processes segment's revenue increased by \$19.2 billion or 16%. [P12] [P5]
4. Microsoft is focused on leading the AI platform wave across its solution areas and investing resources in building and running cloud-based AI, with growth in LinkedIn driven by AI-enabled services and Microsoft 365 Commercial's growth depending on adding AI-enabled tools. [P3] [P1] [P2]
5. Microsoft's financial health improved in fiscal 2026, as its debt to equity decreased by -3.45 percentage points to 9.11%, and return on equity increased by +0.76 percentage points to 34.04%. [C20] [C12] [C21] [C14]
6. A two-stage Discounted Cash Flow valuation, using fiscal 2026 free cash flow of \$66,987 million, yields an equity value of \$162.04 per share. [C8] [C22]

Bear case

1. Free cash flow decreased from \$71,611 million in fiscal 2025 to \$66,987 million in fiscal 2026. [C9] [C8]
2. Gross profit margin decreased by -0.88 percentage points to 67.94% in fiscal 2026 from 68.82% in fiscal 2025. [C16] [C2] [C3]
3. The current ratio decreased by -12.31 percentage points to 123.03% in fiscal 2026 from 135.34% in fiscal 2025. [C19] [C10] [C11]
4. Products and services may contain defects, be utilized inappropriately, or collect data in ways that do not satisfy customers or regulations, leading to security, privacy, and execution risks. [P6]
5. Issues in the development, deployment, and use of AI, including flawed models, biased data, and harmful content generation, may result in reputational or competitive harm or liability. [P9]
6. Changes in economic conditions, periods of uncertainty, and evolution of customer demand may cause lower or delayed IT spending, which could adversely affect results of operations. [P8]

Critic log

Every numeric figure is checked in Python against the evidence it cites (value, scale and fiscal year); qualitative statements are checked against the cited 10-K passages. Failed claims go back to their author; claims still failing after the last revision are removed.

Side	Round	Passed	Failed
bull	0	6	0
bear	0	6	0

Sources

F = XBRL fact as filed, C = deterministic calculation (inputs listed), P = retrieved 10-K passage.

ID	Evidence	Source
F1	revenue FY2026: \$331,839 million	RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30
F2	revenue FY2025: \$281,724 million	RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2025-06-30
C1	revenue_yoy_growth FY2026: 17.79%	(revenue FY2026 - FY2025) / FY2025 ; inputs: RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30; RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2025-06-30
F3	net_income FY2026: \$133,749 million	NetIncomeLoss [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30
F4	net_income FY2025: \$101,832 million	NetIncomeLoss [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2025-06-30

ID	Evidence	Source
C17	operating_income_margin_change FY2026: +1.16 percentage points	operating_income_margin FY2026 - FY2025; inputs: OperatingIncomeLoss [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30; RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30; OperatingIncomeLoss [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2025-06-30; RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2025-06-30
C4	operating_income_margin FY2026: 46.78%	operating_income / revenue (FY2026); inputs: OperatingIncomeLoss [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30; RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30
C18	net_income_margin_change FY2026: +4.16 percentage points	net_income_margin FY2026 - FY2025; inputs: NetIncomeLoss [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30; RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30; NetIncomeLoss [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2025-06-30; RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2025-06-30
C6	net_income_margin FY2026: 40.31%	net_income / revenue (FY2026); inputs: NetIncomeLoss [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30; RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30
P12	Item 7 passage \$128,528 21% Reportable Segments Fiscal Year 2026 Compared with Fiscal Year 2025 Productivity and Business Processes Revenue increased \$19.2 billion or 16%. Microsoft 365 Commercial products and cloud services revenue increased \$14.2 billion or 16%. Microsoft 365 Commercial cloud revenue grew 17% with growth in revenue per user driven by Microsoft 365 Copilot and Microsoft 365 E5. Microsoft 36...	MSFT 10-K accn 0001193125-26-323660 (period 2026-06-30), Item 7, fixed-0076
P5	Item 7 passage to our Productivity and Business Processes and Intelligent Cloud segments assess the health of our core businesses within these segments. The metrics primarily reflect growth across our cloud services. Microsoft 365 Commercial cloud revenue growth Revenue from Microsoft 365 Commercial subscriptions, comprising Microsoft 365 Commercial, Enterprise Mobility + Security, the cloud portion of Windows...	MSFT 10-K accn 0001193125-26-323660 (period 2026-06-30), Item 7, fixed-0073

ID	Evidence	Source
P3	Item 1 passage cases, changes the very core of products and services. 3 PART I Item 1 The Microsoft Cloud provides integration across the technology stack while offering openness, improving time to value, reducing costs, and increasing agility. Our cloud business benefits from three economies of scale: datacenters that deploy computational resources at significantly lower cost per unit than smaller ones; datacen...	MSFT 10-K accn 0001193125-26-323660 (period 2026-06-30), Item 1, fixed-0005
P1	Item 1 passage Premium Subscriptions, and Sales Solutions. Growth will depend on our ability to increase LinkedIn member engagement on the platform and our ability to continue offering insight and AI-enabled services that provide value for our members and customers. LinkedIn revenue is mainly affected by demand from enterprises and professionals for subscriptions to Talent Solutions, Sales Solutions, and Premium...	MSFT 10-K accn 0001193125-26-323660 (period 2026-06-30), Item 1, fixed-0009
P2	Item 1 passage ERP and CRM applications. Microsoft 365 Commercial Products and Cloud Services Microsoft 365 Commercial is an AI-powered business and productivity solutions platform that brings together Office, Windows, Microsoft 365 Copilot, and Enterprise Mobility + Security to help organizations empower their employees. Growth depends on our ability to reach new users in new markets such as frontline workers, ...	MSFT 10-K accn 0001193125-26-323660 (period 2026-06-30), Item 1, fixed-0008
C20	debt_to_equity_change FY2026: -3.45 percentage points	debt_to_equity FY2026 - FY2025; inputs: LongTermDebt [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30; StockholdersEquity [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30; LongTermDebt [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2025-06-30; StockholdersEquity [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2025-06-30
C12	debt_to_equity FY2026: 9.11%	long_term_debt / shareholders_equity (FY2026); inputs: LongTermDebt [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30; StockholdersEquity [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30
C21	return_on_equity_change FY2026: +0.76 percentage points	return_on_equity FY2026 - FY2025; inputs: NetIncomeLoss [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30; StockholdersEquity [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30; StockholdersEquity [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2025-06-30; NetIncomeLoss [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2025-06-30; StockholdersEquity [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2025-06-30; StockholdersEquity [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2024-06-30
C14	return_on_equity FY2026: 34.04%	net_income FY2026 / avg(shareholders_equity FY2025, FY2026); inputs: NetIncomeLoss [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30; StockholdersEquity [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30; StockholdersEquity [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2025-06-30

ID	Evidence	Source
C8	free_cash_flow FY2026: \$66,987 million	operating_cash_flow - capex (FY2026); inputs: NetCashProvidedByUsedInOperatingActivities [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30; PaymentsToAcquirePropertyPlantAndEquipment [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30
C22	dcf_value_per_share FY2026: \$162.04 per share	(PV of 5y FCF at g=0.06 + PV terminal at g=0.025, r=0.09) + cash - debt, / diluted_shares (base FY2026); inputs: NetCashProvidedByUsedInOperatingActivities [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30; PaymentsToAcquirePropertyPlantAndEquipment [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30; CashAndCashEquivalentsAtCarryingValue [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30; LongTermDebt [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30; WeightedAverageNumberOfDilutedSharesOutstanding [shares] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30
C9	free_cash_flow FY2025: \$71,611 million	operating_cash_flow - capex (FY2025); inputs: NetCashProvidedByUsedInOperatingActivities [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2025-06-30; PaymentsToAcquirePropertyPlantAndEquipment [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2025-06-30
C16	gross_profit_margin_change FY2026: -0.88 percentage points	gross_profit_margin FY2026 - FY2025; inputs: GrossProfit [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30; RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30; GrossProfit [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2025-06-30; RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2025-06-30
C2	gross_profit_margin FY2026: 67.94%	gross_profit / revenue (FY2026); inputs: GrossProfit [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30; RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30
C3	gross_profit_margin FY2025: 68.82%	gross_profit / revenue (FY2025); inputs: GrossProfit [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2025-06-30; RevenueFromContractWithCustomerExcludingAssessedTax [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2025-06-30
C19	current_ratio_change FY2026: -12.31 percentage points	current_ratio FY2026 - FY2025; inputs: AssetsCurrent [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30; LiabilitiesCurrent [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30; AssetsCurrent [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2025-06-30; LiabilitiesCurrent [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2025-06-30
C10	current_ratio FY2026: 123.03%	current_assets / current_liabilities (FY2026); inputs: AssetsCurrent [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30; LiabilitiesCurrent [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2026-06-30

ID	Evidence	Source
C11	current_ratio FY2025: 135.34%	current_assets / current_liabilities (FY2025); inputs: AssetsCurrent [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2025-06-30; LiabilitiesCurrent [USD] 10-K accn 0001193125-26-323660 filed 2026-07-29, period ending 2025-06-30
P6	Item 1A passage actions may require us to make substantial investments in people and technology and these investments may not be successful, adversely affecting our business, financial condition, and results of operations. Other digital safety abuses Our services may be used to find, generate, store, or disseminate harmful or illegal content in violation of our terms or applicable law. We may not proactively disc...	MSFT 10-K accn 0001193125-26-323660 (period 2026-06-30), Item 1A, fixed-0042
P9	Item 1A passage and software from multiple vendors whose products or personnel may take or fail to take actions which impact the reliability or security of our products and services. If our products and services do not work as intended, are utilized in methods not intended, violate the law, or harm individuals or businesses, we may be subject to legal claims or enforcement actions. These risks, if realized, may i...	MSFT 10-K accn 0001193125-26-323660 (period 2026-06-30), Item 1A, fixed-0043
P8	Item 1A passage changes in economic conditions, periods of economic uncertainty, evolution of customer demand, technology investment cycles, interest rates, foreign exchange rates, or the timing and mix of customer spending, may cause lower or delayed IT spending and adversely affect our results of operations. If demand for computing power, PCs, servers, and other computing devices declines, or consumer or busine...	MSFT 10-K accn 0001193125-26-323660 (period 2026-06-30), Item 1A, fixed-0058